

INDEPENDENT AUDITOR'S REPORT

To the Partners of Baahula Minerals

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying Financial Statement of M/s.**Baahula Minerals** (hereinafter referred to as the "Partnership Firm"), which comprises the Balance Sheet as of 31st March 2026, the Statement of Profit and Loss and the Cash Flows Statement for the year ended, and notes to the Financial Statements, including a summary of significant accounting policies and other explanatory information and disclosure (Collectively referred to as the "the Financial Statements").

In our opinion, the accompanying Financial Statements give a true and fair view of the financial position of the Partnership firm as at 31st March 2026 and of its financial performance, and its cash flows for the year ended in accordance with the Accounting Standards issued by the Institute of Chartered Accountants of India ("ICAI").

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) and other applicable authoritative pronouncements issued by the Institute of Chartered Accountants of India. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Partnership Firm in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("the ICAI") and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

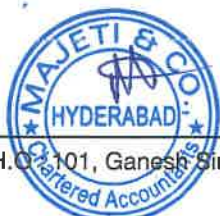
Other Information

The Partner of the Partnership Firm is not required to prepare an annual report. Accordingly, the requirement for our reporting on such other information does not arise.

Responsibilities of the Partner for the Financial Statements

The Partnership Firm's Partner is responsible for the preparation of the Financial Statements that give a true and fair view of the financial position, financial performance and cash flows of the Partnership firm's. Consequently, the Partner has prepared the Financial Statement in accordance with the Accounting Standards issued by the Institute of Chartered Accountants of India. This responsibility includes the design, implementation and maintenance of adequate internal controls, relevant to the preparation and presentation of the Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statement, the partners are responsible for assessing the Partnership Firm's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Partners either intend to



liquidate the Partnership Firm or to cease operations or has no realistic alternative but to do so. The Partners are also responsible for overseeing the Partnership Firm's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for expressing an opinion on the effectiveness of the Partnership Firm's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Partnership firm's management.
- Conclude on the appropriateness of the Partnership firm's management use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Partnership firm's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Partnership firm to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the Financial Statement, including the disclosures, and whether the Financial Statement represents the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Management regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide Partners with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on other requirements.

we also report that:

- We have sought and obtained all the information and explanation which, to the best of our knowledge and belief, were necessary for the purpose of our audit;
- In our opinion, proper books of account as required by the Partnership Act, 1932 as amended from time to time, and Rules made thereto (the 'Act') have been kept by the Partnership Firm so far as appears from our examination of those books;
- The Balance sheet and the Statement of Profit and loss dealt with by this report agree with the books of accounts;
- In our opinion, the Balance Sheet and the Statement of Profit and Loss dealt with by this report comply with the accounting standards to the extent applicable issued by the Institute of Chartered Accountants of India.

For MAJETI & CO.,

Chartered Accountants

ICAI Firm Registration No. 0159756

M. Kiran Kumar



Kiran Kumar Majeti

Partner

Membership No. 220354

UDIN: 26220354TXIRVF6075

Place: Hyderabad

Date: May 25, 2026

Baahula Minerals**Balance Sheet as at March 31, 2026***(All amounts in Indian Rupees, unless otherwise stated)*

	Note No.	As at March 31, 2026	As at March 31, 2025
I. EQUITY AND LIABILITIES			
1. Owners Funds			
Partners capital account	3	40,00,000	40,00,000
Partners current accounts	4	(2,84,54,886)	(2,08,57,557)
		(2,44,54,886)	(1,68,57,557)
2. Current Liabilities			
Short term borrowing	5	6,60,64,189	6,11,13,963
Trade Payables	6	29,92,204	9,43,000
Other current liabilities	7	5,62,300	1,69,690
		6,96,18,693	6,22,26,653
TOTAL		4,51,63,807	4,53,69,096
II. ASSETS :			
1.Non-Current Assets			
Property, Plant and Equipment and Intangible assets			
Property, Plant and Equipment	8	3,93,51,664	3,94,14,814
Long Term Loans and Advances	9	55,33,600	55,33,600
		4,48,85,264	4,49,48,414
2.Current Assets			
Cash and bank balances	10	80,769	2,52,712
Other current assets	11	1,97,774	1,67,970
		2,78,543	4,20,682
Total		4,51,63,807	4,53,69,096
Brief about the Entity	1		
Summary of significant accounting policies	2		

The accompanying notes are an integral part of the Financial Statements

As per our report of even date

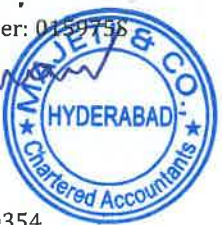
For MAJETI & Co.,

Chartered Accountants

Firm's Registration Number: 0159756

M. Kiran Kumar Majeti

Kiran Kumar Majeti
Partner
Membership number: 220354


For and on Behalf of the Firm

K Ramachandra

K Ramachandra
(Authorised signatory
for Midwest Limited)

M Suman

M Suman
Partner



Place: Hyderabad

Date: May 25, 2026

Baahula Minerals**Statement of Profit and Loss for the year ended March 31, 2026***(All amounts in Indian Rupees, unless otherwise stated)*

	Note No.	For the year ended March 31, 2026	For the year ended March 31, 2025
I. Income			
Revenue from operations		-	-
Other Income	12	5,177	561
Total Income (I)		5,177	561
II. Expenses			
Seignorage and Cess Fees	13	19,36,000	19,36,000
Employee benefits expense	14	-	1,55,000
Finance cost	15	55,00,256	51,11,694
Depreciation and amortization expense	16	63,150	63,150
Other expenses	17	1,03,100	1,60,485
Total Expenses		76,02,506	74,26,329
III. Loss Before Tax		(75,97,329)	(74,25,768)
IV. Tax Expenses			
Current tax		-	-
Deferred tax		-	-
Total Tax Expenses		-	-
VI. Loss after tax		(75,97,329)	(74,25,768)

The accompanying notes are an integral part of the Financial Statements

As per our report of even date

For MAJETI & Co.,

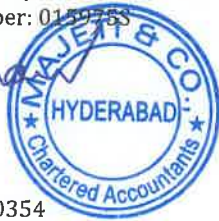
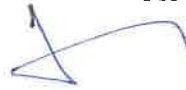
Chartered Accountants

Firm's Registration Number: 0159753

**Kiran Kumar Majeti**

Partner

Membership number: 220354

**For and on Behalf of the Firm****K Ramachandra**
(Authorised signatory
for Midwest Limited)**M Suman**
Partner

Place: Hyderabad

Date: May 25, 2026

Baahula Minerals**Statement of Cash Flows for the year ended March 31, 2026***(All amounts in Indian Rupees, unless otherwise stated)*

	For the year ended March 31, 2026	For the year ended March 31, 2025
Cash flow from operating activities		
Loss before tax	(75,97,329)	(74,25,768)
Adjustments for:		
Depreciation	63,150	63,150
Finance Cost	55,00,256	51,11,694
Operating profit before working capital changes	(20,33,923)	(22,50,924)
Adjustments for working capital changes:		
Other current liabilities	18,91,784	3,77,749
Other current Assets	(29,804)	(75,000)
Cash generated from/(used in) operations	(1,71,943)	(19,48,175)
Income tax (paid)/refund	-	-
Net cash flows from/(used in) operating activities	(1,71,943)	(19,48,175)
Cash flows from Investing activities		
Deposits with original maturity for more than 3 months but less than 12 months from reporting date	21,277	(1,00,561)
Net cash flow from/(used in) Investing activities	21,277	(1,00,561)
Cash flows from financing activities		
Proceeds from borrowings	-	20,00,000
Net cash flow from/(used in) Financing activities	-	20,00,000
Net increase/(decrease) in cash and cash equivalents	(1,50,666)	(48,736)
Cash and cash equivalents at the beginning of the year	1,52,151	2,00,887
Cash and cash equivalents at the end of the year	1,485	1,52,151

The Cash flow statement has been prepared under the indirect method as set out in Accounting Standard (AS-3) Statement of Cash Flows.

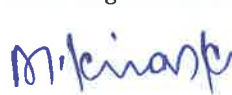
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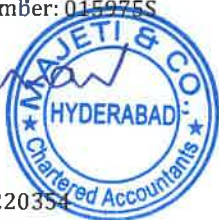
As per our report of even date

For MAJETI & Co.,

Chartered Accountants

Firm's Registration Number: 015975S


Kiran Kumar Majeti
Partner
Membership number: 220354




K Ramachandra
(Authorised signatory
for Midwest Limited)

For and on Behalf of the Firm


M Suman
Partner



Place: Hyderabad

Date: May 25, 2026

Baahula Minerals

Notes annexed to and forming part of the financial statements

(All amounts in Indian Rupees, unless otherwise stated)

1. General Information

Baahula Minerals a Partnership firm between Mr. Suman Madhavarapu, Mr. Mahesh Rao Tanneru and M/s. Midwest Limited (formerly known as Midwest Private Limited prior to that Midwest Granite Private Limited)(represented by Mr.Kollareddy Ramachandra) registered on July 14, 2014 to carry out the business of Processing and Trading of Natural Stones under the provisions of the Partnership Act, 1932.

2. Summary of Significant Accounting Policies

These notes provides the list of accounting polices adopted in the financial statements

2.1. Basis of accounting and preparation of financial statement

Financial Statements of the firm as at and for the year ended on March 31, 2026 prepared to comply in all material aspects in accordance Accounting Standard issued by the institute of Chartered Accounts if India (ICAI) as amended, and other recognised accounting practices and policies generally accepted in India including the requirements of the Partnership Act, 1932.

All assets and Liabilities have been classified as Current or Non Current as per the Partnership's Operating cycle. Based on the nature of Products and the time between the acquslition of assets for processing and their realisation in cash and cash equivalents, the Partnership has ascertained its Operating cycle as 12 Months for the purpose of Current-Non current Classification of Assets and Liabilities.

2.2. Use of estimates

The preparation of Financial Statements in conformity with generally accepted accounting principles requires the management to make judgments, estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities on the date of financial statements and reported amounts of revenues and expenses for the period. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from these estimates. Difference between actual results and estimates are recognised in the period in which the results are known / materialised.

2.3. Property plant and equipment

Property Plant and Equipment are stated at cost, less accumulated depreciation and accumulated impairment losses, if any. Cost comprises of the purchase price and any costs incurred towards bringing the asset to its working condition for its intended use. Borrowing costs relating to acquisition of Property Plant and Equipment which takes substantial period of time to get ready for its intended use have also been included to the extent they relate to the period till such assets are ready to be put to use.

An item of Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising on derecognition is recognised in the Statement of Profit or Loss.

2.4. Depreciation

Depreciation is computed on a Written down basis so as to write off cost of assets over the useful lives of tangible fixed assets . The useful lives of the assets are periodically reviewed and re-determined based on a technical evaluation and expected use and the unamortised depreciable amount is charged over the remaining useful life of such assets.



Baahula Minerals

Notes annexed to and forming part of the financial statements

(All amounts in Indian Rupees, unless otherwise stated)

2.5 Operating leases

Leases of assets under which all the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Lease payments under operating leases are recognised as an expense on a straight-line basis over the lease term.

2.6. Provisions and contingent liabilities

A provision has been recognized in respect of a present obligation as a result of past event i.e. based on the probability of there being an outflow of resources to settle the obligation, in respect of which a reliable estimate can be made. Provisions have not been discounted to its present value and have been determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

Contingent liabilities have been recognized when there is a possible commitment originating from past events whose existence will be confirmed by one or more uncertain future events, or when there is a commitment that is not recognized as a liability or provision because it is not probable that it will entail an outflow of resources.

2.7.Cash and cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents comprise cash at banks and on hand and deposits held at call within an original maturity of three months or less, which are subject to an insignificant risk of changes in value.

2.8.Employee benefits:

(i) Short-term benefits:

Short term employee benefits are recognised as an expense as per the company's scheme based on expected obligation on undiscounted basis.

2.9. Segment reporting

The entity operates in only one business segment viz. the business of Processing and Trading of Natural Stones

2.10. Rounding Off

All amounts stated in financial statement have been rounded off to the nearest rupees, unless otherwise stated.



Baahula Minerals

Notes annexed to and forming part of the financial statements

(All amounts in Indian Rupees, unless otherwise stated)

3 Partners capital account

	As at March 31, 2026	As at March 31, 2025
M.Suman		
Share of profit/loss %	25%	25%
Opening balance	10,00,000	10,00,000
Transaction during the year	-	-
Closing balance	10,00,000	10,00,000
T.Mahesh Rao		
Share of profit/loss %	25%	25%
Opening balance	10,00,000	10,00,000
Transaction during the year	-	-
Closing balance	10,00,000	10,00,000
Midwest Limited		
Share of profit/loss %	50%	50%
Opening balance	20,00,000	20,00,000
Transaction during the year	-	-
Closing balance	20,00,000	20,00,000
	40,00,000	40,00,000

4 Partners current account

	As at March 31, 2026	As at March 31, 2025
M.Suman		
Opening balance	(59,64,391)	(41,07,948)
Share of loss for the year	(18,99,333)	(18,56,443)
Closing balance	(78,63,724)	(59,64,391)
T.Mahesh Rao		
Opening balance	(29,64,390)	(11,07,947)
Share of loss for the year	(18,99,333)	(18,56,443)
Closing balance	(48,63,723)	(29,64,390)
Midwest Limited		
Opening balance	(1,19,28,776)	(82,15,894)
Share of loss for the year	(37,98,663)	(37,12,882)
Closing balance	(1,57,27,439)	(1,19,28,776)
	(2,84,54,886)	(2,08,57,557)

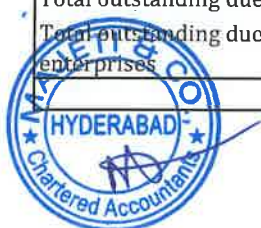
5 Short term borrowings

	As at March 31, 2026	As at March 31, 2025
From related party*		
Midwest Limited	6,60,64,189	6,11,13,963
	6,60,64,189	6,11,13,963

*Refer note 20

6 Trade Payables

	As at March 31, 2026	As at March 31, 2025
Total outstanding dues of micro, small and medium enterprises	-	-
Total outstanding dues of creditors other than micro, small and medium enterprises	29,92,204	9,43,000
	29,92,204	9,43,000



Baahula Minerals

Notes annexed to and forming part of the financial statements

(All amounts in Indian Rupees, unless otherwise stated)

7 Other current liabilities

	As at March 31, 2026	As at March 31, 2025
Creditor for Expenses	1,34,960	91,300
Salaries Payable	-	25,000
Statutory Liabilities	4,27,340	53,390
	5,62,300	1,69,690

8 Property, plant and equipment (Own assets)

	Freehold land	Lease Hold Land	Plant and equipment	Total
Gross carrying value				
Balance as at April 01, 2025	3,87,82,085	5,04,450	4,66,100	3,97,52,635
Additions	-	-	-	-
Deductions	-	-	-	-
Balance as at March 31, 2026	3,87,82,085	5,04,450	4,66,100	3,97,52,635
Accumulated depreciation				
Balance as at April 01, 2025	-	67,260	2,70,561	3,37,821
Depreciation	-	33,630	29,520	63,150
Disposals	-	-	-	-
Balance as at March 31, 2026	-	1,00,890	3,00,081	4,00,971
Net carrying amount as at March 31, 2026	3,87,82,085	4,03,560	1,66,019	3,93,51,664

Gross carrying value				
Balance as at April 01, 2024	3,87,82,085	5,04,450	4,66,100	3,97,52,635
Additions	-	-	-	-
Deductions	-	-	-	-
Balance as at March 31, 2025	3,87,82,085	5,04,450	4,66,100	3,97,52,635
Accumulated depreciation				
Balance as at April 01, 2024	-	33,630	2,41,041	2,74,671
Depreciation	-	33,630	29,520	63,150
Disposals	-	-	-	-
Balance as at March 31, 2025	-	67,260	2,70,561	3,37,821
Net carrying amount as at March 31, 2025	3,87,82,085	4,37,190	1,95,539	3,94,14,814

9 Long term Loans and advances

	As at March 31, 2026	As at March 31, 2025
Capital advance*	55,33,600	55,33,600
	55,33,600	55,33,600

*Purchase of land(unsecured advances)

10 Cash & Bank Balances

	As at March 31, 2026	As at March 31, 2025
i. Cash and cash equivalents		
On Current account	323	1,50,989
Cash on hand	1,162	1,162
Total cash and cash equivalents	1,485	1,52,151
ii. Other bank balances		
Deposits with original maturity for more than 3 months but less than 12 months from reporting date	79,284	1,00,561
Total other bank balances	79,284	1,00,561
	80,769	2,52,712



Baahula Minerals

Notes annexed to and forming part of the financial statements

(All amounts in Indian Rupees, unless otherwise stated)

11 Other Current Assets

	As at March 31, 2026	As at March 31, 2025
Balances with the Government Authorities	68,400	59,400
Advance for Expenses	1,29,374	1,08,570
	1,97,774	1,67,970

12 Other Income

	For the year ended March 31, 2026	For the year ended March 31, 2025
Interest Income	5,177	561
TOTAL	5,177	561

13 Seignorage and Cess Fees

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Dead rent	19,36,000	19,36,000
TOTAL	19,36,000	19,36,000

14 Employee Benefit Expense

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Salaries, wages, bonus and other allowances	-	1,55,000
TOTAL	-	1,55,000

15 Finance cost

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Interest on unsecured loan	55,00,256	51,11,694
TOTAL	55,00,256	51,11,694

16 Depreciation and amortization expense

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Depreciation	63,150	63,150
	63,150	63,150

17 Other Expenses

Particulars	For the year ended March 31, 2026	For the year ended March 31, 2025
Traveling Expenses	-	11,960
Payment to auditor	41,300	41,300
Professional Charges	11,800	-
Technical Services	50,000	-
Power and Fuel	-	4,250
Printing & Stationery	-	2,373
Late Fee On TDS	-	20,602
Security Charges	-	80,000
	1,03,100	1,60,485



Baahula Minerals

Notes annexed to and forming part of the financial statements

(All amounts in Indian Rupees, unless otherwise stated)

18 Details on derivative instruments and unhedged foreign currency exposures

(i) There are no outstanding forward exchange contracts as at March 31, 2026 (March 31, 2025: Nil).

(ii) There is no foreign currency exposure as at March 31, 2026 (March 31, 2025: Nil).

19 Contingent Liabilities and Commitments (to the extent not provided for)

(i) There are no outstanding contingent liabilities as at March 31, 2026 (March 31, 2025: Nil).

20 Related Party Transactions**a. List of related parties**

Name of related Parties	Nature of relationship
M/s. Midwest Limited (represented by K Ramachandra)	Partner
Mr.Mahesh Rao Tanneru	Partner
Mr.Suman Madhavarapu	Partner

b. Transaction with related parties

	For the year ended March 31, 2026	For the year ended March 31, 2025
Share of loss credit to partners current account		
Mr.Suman Madhavarapu	(18,99,333)	(18,56,443)
Mr.Mahesh Rao Tanneru	(18,99,333)	(18,56,443)
M/s. Midwest Limited	(37,98,663)	(37,12,882)
Interest charged		
M/s. Midwest Limited	55,00,256	51,11,694
Unsecured borrowings taken		
M/s. Midwest Limited	-	20,00,000

c. Balance outstanding with related parties

	As at March 31, 2026	As at March 31, 2025
Partners Capital contribution		
M/s. Midwest Limited	20,00,000	20,00,000
Mr.Mahesh Rao Tanneru	10,00,000	10,00,000
Mr.Suman Madhavarapu	10,00,000	10,00,000
Partners Current account		
M/s. Midwest Limited	(78,63,724)	(59,64,391)
Mr.Mahesh Rao Tanneru	(48,63,723)	(29,64,390)
Mr.Suman Madhavarapu	(1,57,27,439)	(1,19,28,776)
Unsecured borrowings		
M/s. Midwest Limited	6,60,64,189	6,11,13,963



Baahula Minerals

Notes annexed to and forming part of the financial statements

(All amounts in Indian Rupees, unless otherwise stated)

21 Segment Reporting

The entity operates in only one business segment viz. the business of Processing and Trading of Natural stones. Therefore, segment wise reporting under AS 17 is not applicable.

22 CIF value of Imports

	For the year ended March 31, 2026	For the year ended March 31, 2025
Capital Assets/Goods	-	-

23 The figures of Previous year have been reclassified/regrouped wherever necessary to conform to current year classification

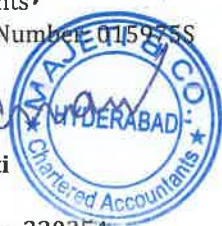
As per our report of even date

For MAJETI & CO.,

Chartered Accountants

Firm's Registration Number: 0159855


Kiran Kumar Majeti
Partner
Membership Number: 220354




K Ramachandra
(Authorised signatory
for Midwest Limited)

For and on Behalf of the Firm


M Suman
Partner



Place: Hyderabad

Date: May 25, 2026